



MEMORANDUM OF UNDERSTANDING (MoU)

This Memorandum of Understanding (MOU) is made on 24 January 2021, at Lucknow, Uttar Pradesh.

BETWEEN

Governor of Uttar Pradesh through Shri Navneet Sehgal, Additional Chief Secretary, Micro, Small, Medium Enterprises and Export Promotion Department, Government of Uttar Pradesh (hereinafter referred to as "GoUP") of one part;

AND

State Bank of India, a bank constituted under State Bank of India Act 1955 having its head office at Mumbai and its Local Head office at Lucknow (hereinafter referred to as "SBI") of second part.

GoUP and SBI are herein after collectively referred to as "Parties" and individually as "Party"

WHEREAS ODOP (One District One Product) Cell, a programme implementation cell set up by Directorate of Industries, Government of Uttar Pradesh, to implement One District One Product programme of the State Government, having its principal office at Niryat Bhawan, First Floor, 8 Cantt Road, Qaiserbagh, Lucknow – 226001, Uttar Pradesh (hereinafter referred to as "ODOP Cell").

AND WHEREAS through this MoU, ODOP Cell and SBI would like to reach out to maximum ODOP artisans and units, through various means, to address majority of funding requirements for their businesses.



NOW, THEREFORE, THIS MoU WITNESSES as below:

I. ROLES AND RESPONSIBILITIES:

A) State Bank of India, Lucknow Circle

1. SBI shall prioritise loans to ODOP artisans and units.
2. SBI shall cater to majority of loan requirements of ODOP artisans and units in their area of operation (Command area) wherein its branches operate in the state, & will help in capital finance, working capital and bill discounting, among others.
3. For bill discounting, special focus should be on ODOP artisans and units, doing business through e-commerce platforms.
4. To reach out to maximum ODOP artisans and units, SBI shall not only utilise its branch network but also utilise technology and alternative loan origination and disbursement mechanisms.
5. Regarding alternative loan origination and disbursement mechanism, SBI shall partner with third-party loan aggregators for loan co-generation and disbursement as per agreed terms of Bank and Aggregator.
6. Regarding technology, SBI shall create a psbloansin59minutes.com like platform for ODOP loans, primarily aimed at automatic principal approval of ODOP loans.
7. SBI shall also work towards completing financial inclusion of ODOP artisans and units. Here, SBI shall give priority to entrepreneurs who are trained through ODOP schemes and are not covered under formal credit system.

B). ODOP Cell:

1. ODOP Cell shall provide infrastructure (DIEPC offices across districts can be utilised for the purpose) to carry out trainings/ orientation workshops/ meetings/ events, related to ODOP, to SBI and its Aggregators.
2. ODOP Cell shall share the database of ODOP artisans and units with SBI and its Aggregators for the purpose of credit access to them.
3. ODOP cell shall facilitate the beneficiaries for onboarding them on e-commerce platform (through ODOP Market Development Assistance Scheme) which would help them in better marketing of their produce.

4. ODOP cell shall provide list of identified/trained entrepreneurs to SBI for linking them to credit avenues.

II. PROJECT TIMELINE

This MoU will commence from 24 January 2021 and will continue till 05 years until any party wants to terminate this MOU by giving prior notice to other Party as per provision of Article V of this MOU.

III. OPERATIONS AND CO-ORDINATIONS

1. ODOP Cell and SBI shall have periodic meetings to review progress of the MoU implementation.
2. ODOP Cell and SBI shall mutually acknowledge the contribution of each other, wherever possible, on their website and media platforms including print, TV and digital media.
3. Any amendment in this MoU will be made in writing by mutual consent of both the parties.

IV. FORCE MAJEURE

1. For the purpose of this MoU 'force Majeure' means an event which is beyond the reasonable control of a Party, either ODOP Cell or SBI and which makes a party's performance regarding its obligations hereunder impossible or so impracticable as reasonably to be considered impossible in the circumstances and include, but is not limited to war, riots, civil disorder, earthquakes, fire, explosions, storm, flood, and other adverse weather conditions, strikes, lock-outs, or other similar actions, political uncertainties, change in priorities in the National and State missions, which is not within the power of the Party invoking "force majeure" to prevent any other action by the other Party.
2. If any Party finds itself incapable to perform its duty due to Force Majeure, it will give notice to other Party that Force Majeure event has arisen.
3. The failure of any Party, either the ODOP Cell or SBI to fulfil any of its obligations is hereunder shall not be considered to be the breach of or default under this MoU in so far as such inability arises from an event of Force Majeure provided that the Party affected by such event should take all reasonable precautions and due care for reasonably carrying out the terms and condition of this MoU.
4. In the event of a Force Majeure ODOP Cell and SBI shall consult each other with a view to agreeing on appropriate measures to be taken under the circumstances.





V. TERMINATION

This MoU can be terminated by either side with a written notice of 30 days, showing adequate reason.

VI. DISPUTES AND ARBITRATION

Any dispute between ODOP Cell and SBI on any matter that has relevance to the smooth and effective implementation of the MoU shall be settled through mutual discussion.

IN WITNESS WHEREOF the Parties hereto have signed this MoU on the day and year first above written.

For and on behalf of Governor of
Uttar Pradesh

(Navneet Sehgal)
Additional Chief Secretary,
Department of MSME & Export Promotion,
Government of Uttar Pradesh

For and on behalf of SBI

(Ajay Kumar Khanna)
Chief General Manager,
State Bank of India,
Lucknow Circle

Witness 1
Name:
Signature:

Witness 2
Name: *Shivani Tiwari*
Signature: *Shivani*